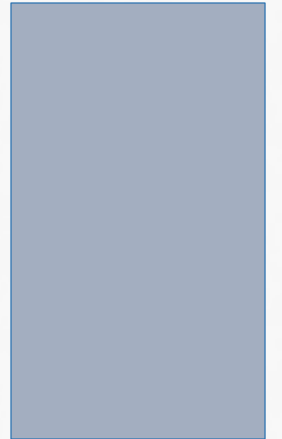


MANAGING CHANGE AND INNOVATION

MS AMNA MUNIR



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EXTERNAL FORCES FOR CHANGE

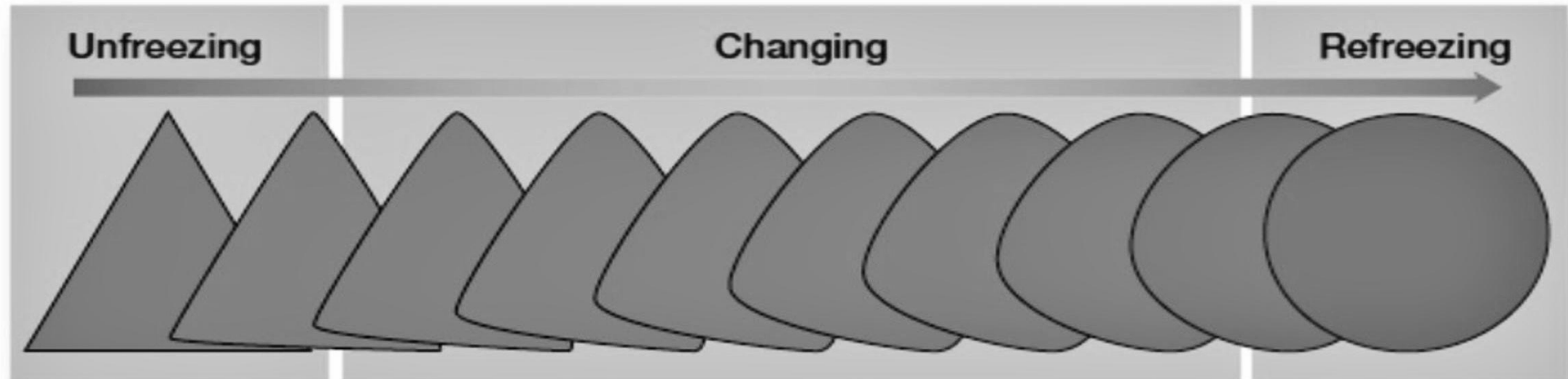
- Changing customer need and wants
- New Governmental Laws
- Changing Technology
- Economic Changes

INTERNAL FORCES FOR CHANGE

- New Organizational Strategy
- Change in composition of workforce
- New Equipment
- Changing employee attitude

THE CHANGE PROCESS

Exhibit 6-2: The Three-Step Change Process

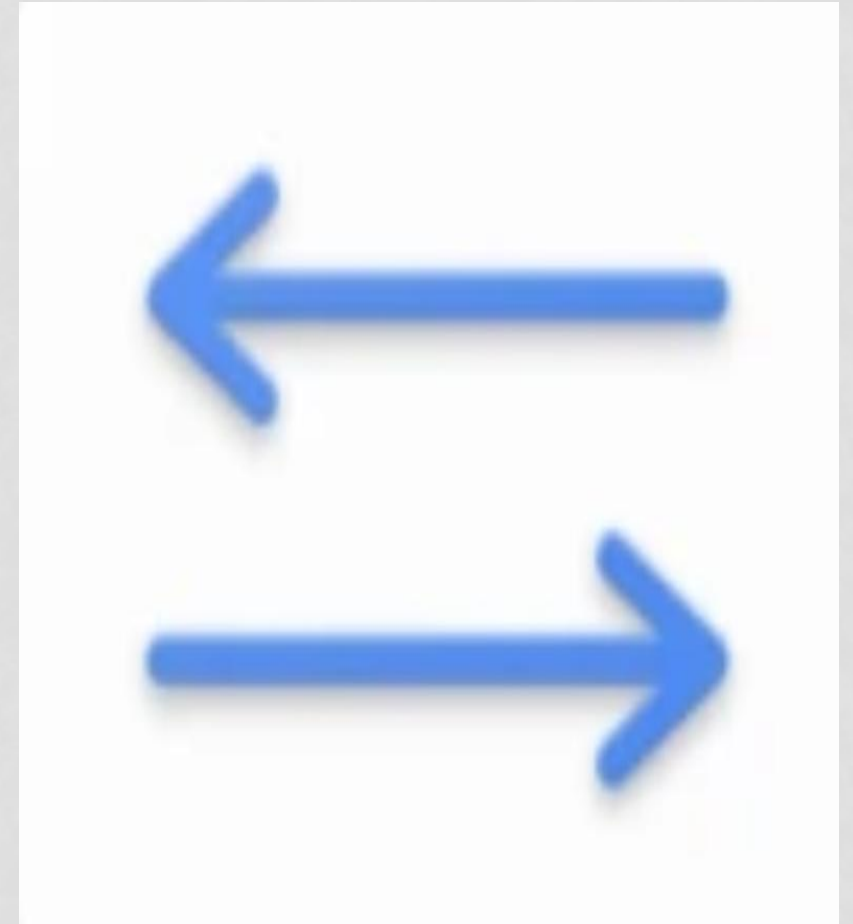


TWO VIEWS OF THE CHANGE PROCESS

1. The Calm Waters Metaphor
2. White Water Rapids Metaphor

THE CALM WATERS METAPHOR

- Unfreezing the status quo
- Changing to new state
- Refreezing to make the change permanent
- Identify driving forces
- Restraining forces, which are resistant to change



WHITE WATER RAPIDS METAPHOR

- The stability and predictability does not exist.
- We can predict for two months accurately, while sometimes we can't predict for next two hours



WHAT IS ORGANIZATIONAL CHANGE

- Any alternation of people, structure or technology in an organization.

Change Agent

- Someone who acts as a catalyst and assumes the responsibility for the managing the change process.

Types of Organizational Change

1. Changing Structure
2. Changing Technology
3. Changing People

TYPES OF CHANGE AGENT

- Managers: internal entrepreneurs
- Nonmanagers: change specialists
- Outside consultants: change implementation experts



TYPES OF ORGANIZATIONAL CHANGE

Structure

- Changing an organization's structural components or its structural design

Technology

- Adopting new equipment, tools, or operating methods that displace old skills and require new ones
- Automation-replacing certain tasks done by people with machines
- Computerization

- **People**

- Changing attitudes, expectations, perceptions, and behaviors of the workforce

THREE TYPES OF CHANGE

Structure

**Structural components and
structural design**

Technology

**Work processes, methods,
and equipment**

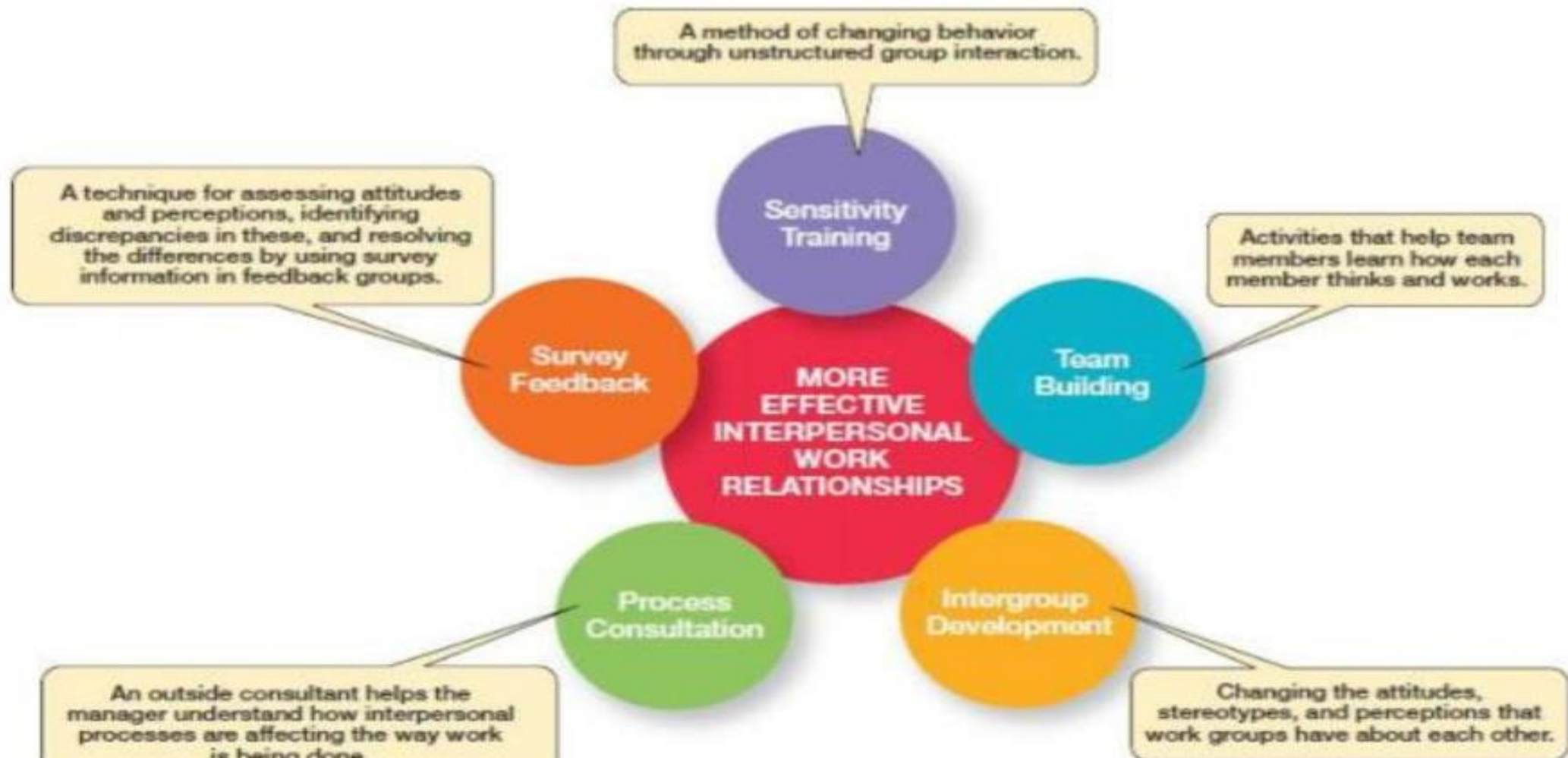
People

**Attitudes, expectations, perceptions,
and behavior—individual and group**

ORGANIZATIONAL DEVELOPMENT (OD)

- **Organizational Development (OD)** – techniques or programs to change people and the nature and quality of interpersonal work relationships.
- **Global OD** – OD techniques that work for U.S. organizations may be inappropriate in other countries and cultures.

EXHIBIT 6-4: POPULAR OD TECHNIQUES



MANAGING RESISTANCE TO CHANGE

Why People Resist Change

- The ambiguity and uncertainty that change introduces
- The comfort of old habits
- A concern over personal loss of status, money, authority, friendships, and personal convenience
- The perception that change is incompatible with the goals and interest of the organization

EXHIBIT 6-5: TECHNIQUES FOR REDUCING RESISTANCE TO CHANGE

Technique	When Used	Advantage	Disadvantage
Education and communication	When resistance is due to misinformation	Clear up misunderstandings	May not work when mutual trust and credibility are lacking
Participation	When resisters have the expertise to make a contribution	Increase involvement and acceptance	Time-consuming; has potential for a poor solution
Facilitation and support	When resisters are fearful and anxiety ridden	Can facilitate needed adjustments	Expensive; no guarantee of success
Negotiation	When resistance comes from a powerful group	Can "buy" commitment	Potentially high cost; opens doors for others to apply pressure too
Manipulation and co-optation	When a powerful group's endorsement is needed	Inexpensive, easy way to gain support	Can backfire, causing change agent to lose credibility
Coercion	When a powerful group's endorsement is needed	Inexpensive, easy way to gain support	May be illegal; may undermine change agent's credibility

CHANGING ORGANIZATIONAL CULTURE

Cultures are naturally resistant to change.

- Conditions that facilitate cultural change:
- The occurrence of a dramatic crisis
- Leadership changing hands
- A young, flexible, and small organization
- A weak organizational culture

EXHIBIT 6-6: CHANGING CULTURE

- *Set the tone through management behavior*; top managers, particularly, need to be positive role models.
- Create *new stories, symbols, and rituals* to replace those currently in use.
- Select, promote, and support employees who *adopt the new values*.
- *Redesign socialization processes* to align with the new values.
- To encourage acceptance of the new values, *change the reward system*.
- Replace unwritten norms with *clearly specified expectations*.
- *Shake up current subcultures* through job transfers, job rotation, and/or terminations.
- Work to get consensus through *employee participation* and creating a climate with a high level of trust

STRESS AND STRESSORS

- **Stress:** the adverse reaction people have to excessive pressure placed on them from extraordinary demands, constraints, or opportunities.
- **Stressors:** factors that cause stress.

WHAT CAUSES STRESS?

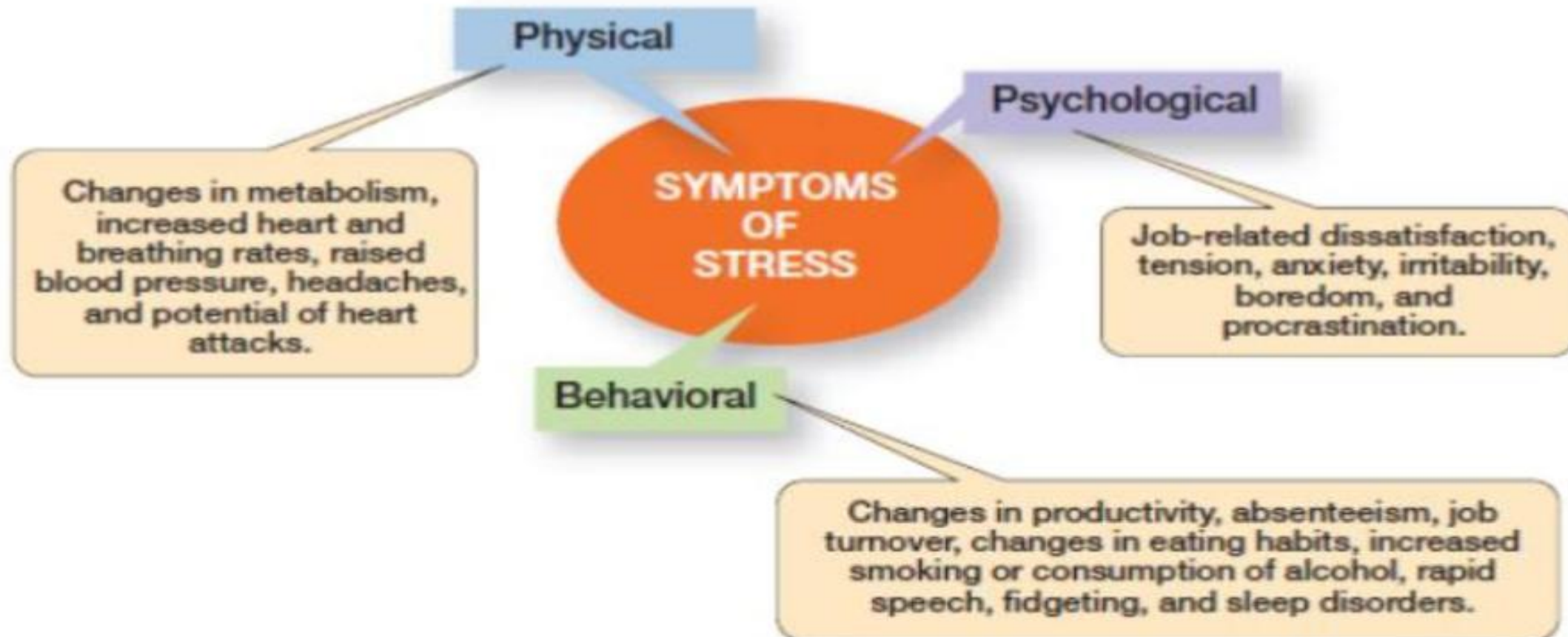
- **Role Conflicts:** work expectations that are hard to satisfy.
- **Role Overload:** having more work to accomplish than time permits.
- **Role Ambiguity:** when role expectations are not clearly understood.

PERSONAL FACTORS CAUSING STRESS

- **Type A personality** - people who have a chronic sense of urgency and an excessive competitive drive.
- **Type B personality** - people who are relaxed and easygoing and accept change easily.



EXHIBIT 6-7: SYMPTOMS OF STRESS



STIMULATING INNOVATION

- **Creativity** the ability to combine ideas in a unique way or to make an unusual association.
- **Innovation** turning the outcomes of the creative process into useful products, services, or work methods.
- **Idea Champions** individuals who actively and enthusiastically support new ideas, build support, overcome resistance, and ensure that innovations are implemented.

EXHIBIT 6-9: WORLD'S MOST INNOVATIVE COMPANIES

Fast Company's Top 10 List

Facebook
Amazon.com
Apple
Google
Huawei
First Solar
Pacific Gas & Electric
Novartis
Wal-Mart
Hewlett-Packard

Bloomberg BusinessWeek's Top 10 List

Apple
Google
Microsoft
IBM
Toyota Motor
Amazon.com
LG Electronics
BYD
General Electric
Sony

STRUCTURAL VARIABLES

- Adopt an organic structure
- Make available plentiful resources
- Engage in frequent inter-unit communication
- Minimize extreme time pressures on creative activities
- Provide explicit support for creativity

CULTURAL VARIABLES

- Accept ambiguity
- Tolerate the impractical
- Have low external controls
- Tolerate risk taking
- Tolerate conflict
- Focus on ends rather than means
- Develop an open-system focus
- Provide positive feedback

HUMAN RESOURCE VARIABLES

- Actively promote training and development to keep employees' skills current
- Offer high job security to encourage risk taking
- Encourage individuals to be “champions” of change

EXHIBIT 6-10: INNOVATION VARIABLES



TERMS TO KNOW

- Organizational change
- Change agent
- Organizational development (OD)
- Stress
- Creativity
- Innovation
- Idea champion